International Airlines Group

IAG.L| LSE | Sector: Airlines| Country: Spain / United Kingdom

BUY| Intrinsic Value: €10.07/share| Market Price: £3.935 (€4.60) |Implied Upside: +119%

Valuation Date	Shares (m)	Mkt Cap (€bn)	Net Debt (€m)	EV (€bn)	WACC
5 Mar 2026	4,727	€21,8	€7,517	€55,2	7,20%

1. Company Overview & Investment Narrative

International Airlines Group (IAG, LSE: IAG.L) is one of the world's largest airline groups by revenue, comprising *British Airways*, *Iberia*, *Vueling*, *Aer Lingus*, and *LEVEL*. With its headquarters in Madrid and it being incorporated in Spain, *IAG* operates approximately 575 aircraft flying to over280 destinations, and carrying over 100M passengers annually. The company is listed on the London Stock Exchange and is part of the IBEX 35. This valuation is dated **5th March 2026**, at which time the share price stood at £3,935.

1.1 Narrative: The Resilient Restructuring Story

IAG's core investment thesis is based on three structural pillars that are believed to not been fully priced in the market. First, the group completed its deepest operational restructuring in its history from 2020-2022, permanently removing over €1,5B in annual costs- fleet simplification, network rationalisation, and labour agreement renegotiations. Second, *IAG* occupies an almost impenetrable competitive position at Heathrow (*British Airways* holds around 50% of slots) and Madrid Barajas (*Iberia*), two of Europe's highest-yield airport pairs. Third, the group's premium-cabin exposure- *BA* generates approximately 45% of revenue from Business and First class- means yield quality is structurally superior to low-cost peers.

This narrative projects a transition from post-COVID recovery (2024 EBIT margin of 13,3%) toward sustainable maturity. Near-term growth is driven by capacity restoration (ASK growth guided at +4-4,5% in 2025), continued demand for premium transatlantic travel, and ongoing fleet replacement with A320neo and A350 aircraft. From 2027 onwards, growth normalizes aligned with long-run nominal GDP, while margins stabilize as fuel hedging benefits moderate and labour costs are reset. We expect revenue to grow from €32,1B (2024) to €41,6B (2034), a CAGR of 2,6%. NOPAT margin is assumed to converge from 10,2% (2024) to a sustainable 10,0% in perpetuity. *Table 1* summarizes IAG's historical financial performance underpinning this narrative.

Table 1: IAG Historical Financial Performance (€m)- *Sheet '1. Historical Data'*

(€m unless stated)	2019	2020	2021	2022	2023	2024
Revenue	25,506	7,806	8,455	23,066	29,453	**32,100**
EBIT	2,613	(7,426)	(2,765)	1,256	3,507	**4,283**
EBIT Margin	10,2%	n.m.	n.m.	5,4%	11,9%	**13,3%**
NOPAT	1,970	(6,583)	(2,312)	1,304	3,047	**3,284**
NOPAT Margin	7,7%	n.m.	n.m.	5,7%	10,3%	**10,2%**
Net Operating Assets	13,867	11,587	9,166	8,410	9,629	**10,315**
RNOA	14,2%	n.m.	n.m.	15,5%	31,6%	**31,8%**
Net Debt	7,571	9,762	11,667	10,385	9,245	**7,517**

The losses recorded between 2020-2023 (COVID-19 period) are structural outliers and were excluded from trend analysis. The subsequent recovery- from €1,3B NOPAT in 2022 to 3,3B in 2024- reflects IAG's demand restoration and cost saving measures implemented. RNOA reaches 31,8% in 2024 is elevated when comparing to pre-pandemic levels (14,2% in 2019), due to asset-lighting restructuring. However, the long-term forecast assumes a normalization of returns, gradually declining to a steady-state RNOA of 1,.5%, consistent with more typical reinvestment levels.

2. DCF Valuation

2.1 Cost of Capital (WACC)

The discount rate is estimated using the *Capital Asset Pricing Model (CAPM)*. The risk-free rate uses the Eurozone 10Y sovereign bond yield (2,15%), sourced from the *External_Data.xlsx* file provided. The equity risk premium of 5,782% incorporates Spain's country risk premium (CRP of 1,552%), consistent with Spain's A3 Moody's rating. *IAG's* own 5Y monthly raw beta of 1.30 were used, a value verified against a Hamada-unlevered peer group (*Lufthansa*, *Air France-KLM*, *easyJet*, *Wizz Air*), which yields an industry average unlevered beta of 0,58: re-levered at *IAG's* market D/E ratio of 0,80, which implies a comparable levered beta of 0,93. We use the higher *IAG*-specific figure of 1,30 to be conservative, recognizing *IAG's* greater financial leverage and exposure to transatlantic macro cycles. The cost of debt is derived from *IAG's* 2024 actual interest expense (€917M) divided by average borrowings (€16,714m), giving a pre-tax rate of 5,49%. All *WACC* components and sources are documented in *Sheet '2. WACC'*.

Table 2: WACC Calculation- *Sheet '2. WACC'*

Component	Value	Source	Notes
Risk-Free Rate (rf)	2,15%	ECB / Damodaran	Eurozone 10Y sovereign bond avg.
Equity Risk Premium (ERP)	5,782%	Damodaran Jan-2025	Spain A3-rated; total ERP incl. CRP
Beta (IAG 5Y raw, re-confirmed)	1,30	Damodaran / LSE	Cross-checked via Hamada (ind. avg. UL β = 0,58)
Cost of Equity (ke = rf + β×ERP)	9,67%	Calculated	
Pre-Tax Cost of Debt (kd)	5,49%	Calculated	Interest exp. €917M / avg. borrowings €16,714M
After-Tax Cost of Debt (kd×(1-t))	4,11%	Calculated	Tax rate 25% (Spanish statutory)
Weight of Equity (E/V)	55,6%	Market values	Mkt cap €21,8B / firm value €39,1B
Weight of Debt (D/V)	44,4%	Market values	Total borrowings €17,345M
WACC	**7,20%**		

2.2 Revenue and Margin Projections

Revenue growth is estimated at 4% in 2025, stabilizing at 2,0% from 2031 onwards- based on IATA's February 2026 global traffic projections of 5% RPK growth in 2025, levelling 2% by 2030, and IAG's internal estimations of +4-4,5% ASK capacity in 2025. Cost ratios were calculated individually for each of the eight operating cost sections in the income statement, using 2024 values as base values, and implementing gradual efficiency improvements where applicable- fleet renewable reducing fuel and engineering costs, scale effects on selling and property costs. This results in an EBIT margin expansion from 10,4% in 2025 to 15,4% in 2034. (*Sheet '3. Assumptions'*).

2.3 Net Operating Assets and Reinvestment

Net Operating Assets (NOA) were calculated as operating assets (PPE, intangibles, inventories, receivables, other current assets) minus operating liabilities (trade payables, deferred revenue, provisions). The 2024 NOA base is €10,315m. The NOA Turnover ratio (revenue divided by NOA) is projected to fall from 2024's elevated 3,1x to 2,45x in 2025, reflecting approximately €3B of annual fleet capex (A320neo/A350 deliveries). It recovers gradually to 2,63x by 2034 as new aircraft utilization improves. This is the model's most consequential assumption: the sharp NOA increase in 2025 results in a negative FCFF of –(€707M) in year one, a planned capital deployment year, not a deterioration in operating performance. From 2026 onwards, FCFF is strongly positive, growing from €2,8B to €4,5B by 2034.

2.4 Projected Cash Flows and Valuation

Table 3: 10-Year Explicit FCFF Forecast (€m)- *Sheet '4. DCF Model'*

(€M)	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Revenue	33,384	34,552	35,589	36,586	37,500	38,363	39,207	39,991	40,791	41,606
EBIT Margin (%)	10,4%	11,4%	12,5%	13,2%	13,9%	14,5%	14,6%	15,1%	15,2%	15,4%
NOPAT	2,604	2,954	3,337	3,622	3,909	4,172	4,293	4,529	4,650	4,806
ΔNOA (Reinvestment)	3,311	195	136	279	243	276	267	242	246	310
FCFF	**(707)**	**2,759**	**3,201**	**3,343**	**3,666**	**3,896**	**4,026**	**4,287**	**4,404**	**4,495**
PV of FCFF	(660)	2,401	2,598	2,531	2,589	2,567	2,474	2,457	2,355	2,242

The terminal value is computed using the *Gordon Growth Model: TV = $FCFF_{11}$ / (WACC – g)*, where the terminal FCFF is derived from a 2035 revenue projection, a long-run NOPAT margin of 10,0%, and a reinvestment rate of *g/RNOA = 2,0%/11,5% = 17,4%*. Terminal value accounts for 61% of enterprise value- elevated relative to shorter-horizon models but consistent with long-lived infrastructure assets and validated by the sensitivity analysis in *Section 3*.

Table 4: Equity Value Bridge *- Sheet '4. DCF Model'*

Item	(€M)	Notes
Sum PV Explicit FCFFs (2025-2034)	21,555	*Sheet '4. DCF Model'*
PV of Terminal Value	33,601	61% of EV
Enterprise Value	**55,156**	
Less: Net Debt	(7,517)	*Sheet '1. Historical Data'*
Equity Value	**47,639**	
/ Shares Outstanding (M)	4,727	*Sheet '2. WACC'*
Intrinsic Value per Share	**€10.07**	vs. £3,935 mkt

3. Sensitivity Analysis

The valuation is sensitive to the assumptions on WACC and terminal growth rate (g), which together determine the discounting of the perpetuity. *Table 5* highlights a two-dimensional sensitivity of value per share using many WACC values (5,5%-9,0%) and terminal growth rates (1,0%-3,0%). The base case (WACC = 7,2%, g = 2,0%) is highlighted. Market price (around €4,60) is reached only in high-WACC, low-growth scenarios, confirming the stock appears undervalued across most reasonable parameter combinations.

Table 5: Value per Share (€)- WACC × Terminal Growth Rate- *Sheet '5. Sensitivity'*

WACC ↓ /g →	1.0%	1.5%	2.0%	2.5%	3.0%
5.5%	€16,24	€14,26	€12,58	€11,14	€9,89
6.0%	€13,54	€11,92	€10,54	€9,37	€8,35
6.5%	€11,39	€10,07	€8,95	€7,99	€7,15
7.0%	€9,67	€8,58	€7.,5	€6,86	€6,17
7.2%	€9,11	€8,09	**€7,23**	€6,50	€5,86
7.5%	€8,31	€7,41	€6,65	€5,99	€5,42
8.0%	€7,16	€6,43	€5,82	€5,28	€4,81
8.5%	€6,23	€5,63	€5,12	€4,68	€4,29
9.0%	€5,47	€4,97	€4,54	€4,17	€3,85

Shading: **Green** = above market price (>€9) | **Red** = below market price (<€4.60) | **Blue cell** = base case

A secondary sensitivity on terminal NOPAT margin (8,0%-10,5%) at the base WACC confirms that even at a conservative long-run margin of 8,0% (well below 2024's actual 10.2%) the implied value per share of approximately €7,00 remains materially above the current market price. The two key downside risks are

therefore a structurally higher cost of capital (WACC >8,5%) or a prolonged return to below-2019 margins, neither of which appears likely given *IAG's* current trajectory. All three sensitivity tables are documented in *Sheet '5. Sensitivity'*.

4. Comparable Companies Analysis

Five comparable companies were selected based on the following criteria: ***(i)*** publicly listed European or quasi-European airline, ***(ii)*** operating a hub-and-spoke or hybrid network model with scheduled passenger services, and ***(iii)*** listed on a stock exchange in a country covered in the *External_Data.xlsx 'Countries'* worksheet. It was decided to exclude pure cargo, charter, and regional feeders as non-comparable. Pure LCCs (*Ryanair*, *easyJet*) are included as boundary comparables given their different cost structures, which is why it was ultimately de-emphasise EV/Revenue as a multiple (*IAG's* hub premium yields structurally higher revenue per passenger). Multiples data use 2024 reported financials.

Table 6: Comparable Companies- *Sheet '4. DCF Model' for IAG metrics*

Company	Mkt	EV (€bn)	EV/EBITDA	P/E	EV/Rev	RNOA	D/E
Lufthansa (LHA.DE)	DE	17,5	4,2x	5,8x	0,52x	8,1%	1,46x
Air France-KLM (AF.PA)	FR	6,8	3,8x	n.m.	0,29x	6,3%	5,53x
easyJet (EZJ.L)	GB	4,9	5,4x	9,2x	0,85x	12,1%	1,08x
Ryanair (RYA.I)	IE	19,8	6,1x	10,4x	1,15x	18,3%	0,78x
Wizz Air (WIZZ.L)	HU	3,6	4,7x	n.m.	0,65x	9,4%	2,55x
Peer Average	-	-	***4,8x***	***8,5x***	***0,69x***	***10,8%***	***2,28x***
IAG (IAG.L)	ES/GB	55,2	8,3x	8,0x	1,72x	31,8%	0,73x

IAG trades at 8,3x EV/EBITDA and 8,0x P/E versus peer averages of 4,8x and 8,5x respectively. The premium EV/EBITDA reflects *IAG's* superior RNOA (31,8% vs. 10,8% peer average), lower leverage, and stronger cash generation. *Ryanair* is the most comparable peer to *IAG* due to its operational metrics- low leverage and high RNOA. The difference between *IAG's* and *Ryanair's* multiples becomes smaller on an EBITDA basis once Ryanair's higher capex than industry normal. The P/E multiple is more consistent across the selected firms, implying earnings quality is broadly comparable.

5. Valuation Using Multiples

Two primary multiples were implemented: EV/EBITDA and trailing P/E. EV/Revenue is reported but not used in the final estimate, as hub airlines structurally inflate revenue relative to LCC peers (*IAG's* EV/Revenue of 1,72x versus a 0,69x peer average reflects yield premium, not overvaluation). EV/EBITDA (4,8x peer average applied to IAG's 2024 EBITDA of €6,647M) implies an enterprise value of €31,9B and, after deducting net debt of €7,517M and dividing by 4,727M shares, an implied value per share of ***€5,15.*** The trailing P/E (8,5x applied to 2024 PAT of €2,732m) implies ***€4,91*** per share. We note that both multiples are subject to distortions from IFRS 16 lease capitalisation, which inflates IAG's debt relative to pre-IFRS 16 peers and compresses P/E relative to asset-light businesses.

Table 7: Multiples-Based Valuation*- Reference: Sheet '1. Historical Data' for IAG metrics*

Multiple	Peer Avg.	IAG Metric	Implied EV (€bn)	Implied VPS (€)
EV/EBITDA	4,8x	€6,647M EBITDA	€31.9B	€5,15 per share
EV/Revenue	0,69x	€32,100M Rev.	€22.1B	€3,08 per share
P/E (trailing)	8,5x	€2,732M PAT	n/a	€4,91 per share
Average (EV/EBITDA + P/E)	-	-	-	**€5,03 per share**

The multiples analysis consistently yields values in the €4,91-€5,15 range, below the DCF estimate of €10,07. This gap is interpreted as primarily reflecting: ***(1)*** peer group depression- European airline multiples are

suppressed by *Air France-KLM's* distressed balance sheet and *Wizz Air's* exposure to CEE geopolitical uncertainty; ***(2)*** mean-reversion in the P/E multiple as 2024 represented *IAG's* highest profitability in five years; and ***(3)*** the multiples approach capturing current earnings power rather than the normalized, longer-term cash generation that the *DCF* captures through its terminal value.

6. Reconciliation of Valuation Estimates

The DCF and multiples approaches yield a spread of €4,91 to €10,07 per share, which is typical for a recovering cyclical with a complex capital structure. It was reconciled by applying a weighted average, assigning 60% weight to the DCF and 40% to the average of the two multiples. The higher DCF weight reflects: ***(i)*** the explicit 10-year forecast horizon directly captures *IAG's* ongoing capital deployment cycle; ***(ii)*** the multiples approach is limited by the distorted peer group described above; and ***(iii)*** DCF is the primary methodology recommended for capital-intensive businesses with long asset lives.

Table 8: Valuation Reconciliation- *Sheets '4. DCF Model' and '5. Sensitivity'*

Method	VPS (€)	Weight	Wtd. VPS (€)	Rationale for Weight
DCF (10-Year Base Case)	€10,07	60%	€6,04	Forward-looking; full explicit horizon; reflects capital cycle
Multiples- EV/EBITDA	€5,15	25%	€1,29	Most widely used in airline sector; controls for D&A differences
Multiples- P/E	€4,91	15%	€0,74	Lower weight; P/E distorted by lease accounting under IFRS 16
Blended Intrinsic Value	-	**100%**	**€8.07**	**vs. mkt €4,60 → +75%**

The blended intrinsic value is **€8,07 per share**, compared to a market price of £3,935 (€4,60 at the EUR/GBP rate of 0,855 used in *Sheet '2. WACC'*), implying an upside of **+75%**. Even applying a 20% discount for model risk and execution uncertainty, the adjusted intrinsic value of around €6,46 per share represents 40% upside. The valuation range across all methods is €4,91-€10,07, with a midpoint of €7,49. In no scenario tested does the model produce a value below the current market price, except in tail-risk WACC combinations (>8,5%) with below-trend growth (g < 1,5%).

7. Investment Recommendation

BUY- Target Price: €8.07 per share | Implied Upside: +75%

We initiate coverage of *International Airlines Group (IAG.L)* with a ***BUY*** recommendation. The stock is materially undervalued on all three valuation methodologies employed. Our blended target price of €8,07 per share represents 75% upside to the current market price, grounded in a thorough DCF analysis, cross-validated by multiples.

Bull case (DCF base, WACC=7,2%, g=2,0%): €10,07 per share (+119%). Full realisation of IAG's post-restructuring earnings power and sustained premium yield advantage.

Base case (blended, 60/40 DCF/multiples): €8,07 per share (+75%). Conservative weighting toward current-earnings multiples reduces model dependency.

Bear case (WACC=8,5%, g=1,5%): €5,63 per share (+22%). This is still above market price- due to fuel price spike and macroeconomic-driven margin compressions.

The primary upside drivers are: ***(i)*** *Air Europa* acquisition (estimated synergies €200 to 250M per year); ***(ii)*** oil price decline below $75/bbl., each $10 move leading to approximately €300M EBITDA increase; ***(iii)*** premium cabin demand proving more resilient than consensus; and ***(iv)*** Heathrow expansion allowing for additional *BA* slots. The key risk is a sharp recession compressing premium travel demand, reducing NOPAT margins and pushing FCFF negative in a way similar to 2020, though *IAG's* balance sheet (net debt/EBITDA of 1,1x in 2024) is significantly more robust today than pre-COVID.

Overall, it's believed that this fundamental analysis and valuation results are not fully pricing IAG's improved operating performance and long-term value creation potential.